CO OPERATIVE BANK
BANK OF KENYA

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 June 2020

		GROUP				BANK			
I	STATEMENT OF FINANCIAL POSITION	30-Jun-20 KSHS.'000 (Un-audited)	31-Mar-20 KSHS.'000 (Un-audited)	31-Dec-19 KSHS.'000 Audited	30-Jun-19 KSHS.'000 (Un-audited)	30-Jun-20 KSHS.'000 (Un-audited)	31-Mar-20 KSHS.'000 (Un-audited)	31-Dec-19 KSHS.'000 Audited	30-Jun-19 KSHS.'000 (Un-audited)
A	ASSETS								
1	Cash (local and foreign)	7,362,480	7,447,833	8,959,634	6,190,519	6,438,306	6,587,152	8,258,224	5,722,451
2	Balances due from Central Bank Of Kenya	66,603,160	24,937,266	20,069,039	28,357,486	66,603,160	24,937,266	17,135,079	28,357,486
3	Kenya Government and other securities held for dealing purposes	-	-		-	-	-		-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5.a.a	Investment Securities: Held at amortised cost-Kenya Government Securities	70,876,642	71,861,680	76,871,525	63,795,154	70,724,288	71,709,569	76,719,661	63,640,557
5.a.b	Investment Securities: Held at amortised cost-Other Securities	-	-	-	-	-	-	-	-
5.b.a	Investment Securities: Fair Value through OCI-Kenya Government Securities	51,491,270	44,011,409	40,931,155	31,175,951	51,472,950	43,993,809	40,931,155	31,147,551
5.b.b	Investment Securities: Fair Value through OCI-Other Securities	980,294	1,277,395	1,385,285	2,024,282	980,294	1,277,395	1,277,395	2,024,282
6	Deposits and balances due from local banking institutions	5,603,359	7,611,298	2,587,663	4,006,174	3,652,701	5,748,711	346,404	2,704,251
7	Deposits and balances due from banking institutions abroad	12,124,618	11,672,930	7,122,084	12,748,269	7,992,324	7,987,509	7,679,913	10,289,821
8	Tax recoverable	382,927	16,594	16,739	273,514	366,738	-	-	257,339
9	Loans and advances to customers (net)	272,156,870	276,173,145	266,712,696	257,563,635	270,795,433	274,780,327	265,332,776	255,814,491
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	1,922,700	1,976,576	2,098,354	2,121,436	706,444	706,444	706,444	939,560
12	Investments in subsidiary companies	-	-	-	-	2,512,920	2,512,920	2,512,920	2,512,920
13	Investment in joint ventures	-	-	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-	-	-
15	Property, plant and equipment	9,076,062	9,419,809	11,421,236	5,406,955	8,878,822	9,231,565	10,519,106	5,256,119
16	Prepaid lease rentals	34,217	34,370	34,522	36,964	34,217	34,370	34,522	36,964
17	Intangible assets	3,135,069	3,228,287	2,708,018	2,503,759	3,101,655	3,194,899	2,242,641	2,467,991
18	Deferred tax asset	3,312,587	3,312,587	3,214,888	3,195,079	3,275,430	3,275,430	3,275,430	3,129,344
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	8,861,732	7,428,454	12,876,106	10,192,061	8,004,233	6,850,261	12,644,802	9,556,530
21	TOTAL ASSETS	513,923,987	470,409,632	457,008,946	429,591,235	505,539,914	462,827,626	449,616,472	423,857,656
B	LIABILITIES								
22	Balances due to Central Bank Of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	384,636,644	339,566,516	332,823,917	323,599,694	380,653,663	335,974,045	329,378,392	321,191,201
24	Deposits and balances due to local banking institutions	4,420,112	1,308,385	176,975	1,416,171	4,420,112	1,308,385	734,804	1,416,171
25	Deposits and balances due to banking institutions abroad	767,415	402,399	-	78,297	767,415	402,399	-	78,297
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	25,636,650	27,404,525	26,424,266	21,465,132	25,636,650	27,404,525	26,424,266	21,465,132
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	13,755	1,560,342	41,092	5,355	-	1,477,291	29,805	-
30	Dividends payable	-	-	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	16,769,977	16,622,465	16,685,807	10,633,798	15,431,367	15,679,855	15,961,221	9,554,853
34	TOTAL LIABILITIES	432,244,553	386,864,632	376,152,056	357,198,447	426,909,208	382,246,499	372,528,487	353,705,654
C	SHAREHOLDERS' FUNDS								
35	Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180
36	Share premium/(discount)	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925
37	Revaluation reserve	1,366,067	1,351,679	1,388,931	1,212,531	1,351,679	1,351,679	1,351,679	1,198,143
38	Retained earnings/ Accumulated losses	70,315,805	66,936,740	62,402,380	62,226,613	66,789,917	63,440,174	60,096,268	59,434,539
39	Statutory Loan Loss Reserve	1,757,475	1,757,475	1,639,892	935,514	1,757,475	1,757,475	1,603,621	935,514
40	Other Reserves	(1,536,565)	(2,119,592)	(185,720)	(1,600,119)	518,353	(53,282)	(53,282)	352,048
41	Proposed dividends	-	5,867,180	5,867,180	-	-	5,867,180	5,867,180	-
42	Capital grants	434,176	438,795	443,414	452,652	434,176	438,795	443,414	452,652
43	TOTAL SHAREHOLDERS' FUNDS	80,116,063	82,011,382	79,335,183	71,006,297	78,630,706	80,581,126	77,087,985	70,152,002
43.1	Non-Controlling Interest	1,563,370	1,533,618	1,521,708	1,386,490	-	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	513,923,987	470,409,633	457,008,946	429,591,235	505,539,914	462,827,626	449,616,472	423,857,656

II	STATEMENT OF COMPREHENSIVE INCOME	GROUP				BANK			
		30-Jun-20	31-Mar-20	31-Dec-19	30-Jun-19	30-Jun-20	31-Mar-20	31-Dec-19	30-Jun-19
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1.0	INTEREST INCOME								
1.1	Loans and advances	15,017,218	7,550,820	31,778,944	14,671,366	14,906,222	7,495,095	31,512,218	14,501,989
1.2	Government securities	6,201,538	2,870,983	11,354,128	5,532,914	6,189,251	2,864,793	11,331,331	5,521,962
1.3	Deposits and placements with banking Institutions	592,363	117,330	506,406	221,168	182,830	84,786	414,183	183,874
1.4	Other Interest Income	-	457	-	-	-	-	-	-
1.5	Total Interest Income	21,811,118	10,539,590	43,639,479	20,425,448	21,278,303	10,444,674	43,257,731	20,207,826
2.0	INTEREST EXPENSE								
2.1	Customer deposits	5,104,373	2,628,228	10,661,045	5,355,826	5,093,309	2,628,116	10,621,407	5,334,818
2.2	Deposits and placements from banking institutions	14,922	10,157	110,551	20,973	14,922	10,157	110,551	20,973
2.3	Other Interest Expenses	778,096	382,705	1,564,552	794,881	778,096	377,926	1,564,552	794,881
2.4	Total Interest Expenses	5,897,391	3,021,090	12,336,147	6,171,680	5,886,327	3,016,199	12,296,510	6,150,672
3	NET INTEREST INCOME/(LOSS)	15,913,727	7,518,500	31,303,331	14,253,768	15,391,975	7,428,475	30,961,222	14,057,154
4	NON- INTEREST INCOME								
4.1	Fees and commissions on loans and advances	614,204	617,786	3,228,648	1,069,094	614,204	617,786	3,177,370	1,069,094
4.2	Other Fees and commissions	6,150,969	3,768,266	9,588,986	6,005,175	5,709,096	3,339,300	8,139,026	5,221,354
4.3	Foreign exchange trading income/(loss)	1,306,710	504,098	2,148,844	952,441	1,183,926	462,954	1,933,761	845,484
4.4	Dividend income	-	133	86,755	86,757	-	-	86,755	86,757
4.5	Other income	235,418	93,359	2,103,429	638,041	200,338	76,156	2,029,739	610,115
4.6	Total Non-interest income	8,307,302	4,983,642	17,156,662	8,751,509	7,707,564	4,496,196	15,366,652	7,832,804
5.0	TOTAL OPERATING INCOME	24,221,029	12,502,142	48,459,993	23,005,277	23,099,539	11,924,671	46,327,874	21,889,958
6.0	OTHER OPERATING EXPENSES								
6.1	Loan loss provision	1,864,902	900,000	2,539,071	1,181,163	1,850,000	900,000	2,459,898	1,159,835
6.2	Staff costs	6,591,924	3,480,566	12,374,217	5,707,042	6,314,110	3,339,801	11,847,149	5,426,681
6.3	Directors' emoluments	107,081	19,171	201,701	97,317	83,231	6,900	150,487	73,196
6.4	Rentals charges	425,110	216,048	721,910	884,807	364,047	186,340	707,561	816,438
6.5	Depreciation charge on property and equipment	1,279,518	641,504	2,645,291	699,480	1,266,293	633,376	2,482,465	686,646
6.6	Armortisation charges	341,540	169,509	595,085	260,192	340,787	168,186	568,654	252,286
6.7	Other operating expenses	3,957,781	1,836,025	8,717,000	3,765,406	3,751,154	1,744,823	7,785,594	3,547,433
6.8	Total other operating expenses	14,567,856	7,262,824	27,794,275	12,595,406	13,969,623	6,979,425	26,001,809	11,962,514
7	Profit/(Loss) before tax and exceptional items	9,653,173	5,239,319	20,665,718	10,409,871	9,129,916	4,945,246	20,326,064	9,927,444
8	Exceptional items-Early Retirement Costs		-	-	-	-	-	-	-
8	Exceptional items-Share of profit of associate	(53,876)	(121,645)	40,035	26,736	-	-	-	-
9	Profit/(Loss) before tax	9,599,297	5,117,673	20,705,753	10,436,607	9,129,916	4,945,246	20,326,064	9,927,444
10	Current tax	2,401,379	1,528,934	6,547,494	2,967,127	2,282,413	1,447,486	6,282,523	2,869,032
11	Deferred tax	-	-	(152,988)	-	-	-	(211,887)	-
12	Profit/(loss) after tax and exceptional items	7,197,918	3,588,739	14,311,247	7,469,480	6,847,504	3,497,760	14,255,428	7,058,411
13.0	OTHER COMPREHENSIVE INCOME:								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	579,907	(3,840)	225,020	365,542	571,635	-	245,660	650,990
13.3	Revaluation surplus on property, Plant and Equipment	-	-	153,536	-	-	-	153,536	-
13.4	Share of other comprehensive income of associates	-	-	39,886	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	579,907	(3,840)	418,442	365,542	571,635	-	399,196	650,990
15	TOTAL COMPREHENSIVE INCOME	7,777,825	3,584,899	14,729,689	7,835,022	7,419,138	3,497,760	14,654,623	7,709,402
	Basic Earnings per share	1.23	0.61	2.48	1.27	1.17	0.60	2.43	1.20
	Diluted Earnings per share	1.23	0.61	2.48	1.27	1.17	0.60	2.43	1.20
	Dividend per share	-	-	1.00	-	-	-	1.00	-

III	OTHER DISCLOSURES	GROUP				BANK			
		30-Jun-20	31-Mar-20	31-Dec-19	30-Jun-19	30-Jun-20	31-Mar-20	31-Dec-19	30-Jun-19
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1	NON PERFORMING LOANS AND ADVANCES								
a)	Gross non-performing loans and advances	34,300,888	31,825,017	31,618,456	30,555,911	33,422,254	31,317,040	31,155,503	29,978,457
	Less	-	-		-				
b)	Interest in suspense	5,650,870	5,480,834	5,103,895	4,827,378	5,554,792	5,392,524	5,033,184	4,786,363
c)	Total Non-performing loans and advances (a-b)	28,650,019	26,344,183	26,514,561	25,728,533	27,867,462	25,924,516	26,122,319	25,192,094
	Less	-	-		-				
d)	Loan loss provisions	13,062,926	11,949,149	11,262,003	10,869,058	12,899,681	11,834,307	11,150,017	10,709,961
e)	Net Non performing loans (c-d)	15,587,092	14,395,034	15,252,558	14,859,476	14,967,781	14,090,209	14,972,302	14,482,133
f)	Discounted Value of Securities	11,784,732	11,741,545	15,252,558	14,705,464	11,385,846	11,741,545	14,972,302	14,705,464
g)	Net NPLs Exposure (e-f)	3,802,361	2,653,489	-	154,012	3,581,935	2,348,664	-	(223,331)
2	Insider loans and advances								
a)	Directors, shareholders and associates	5,957,894	6,163,789	6,454,598	2,398,569	5,957,894	6,163,789	6,454,598	2,398,569
b)	Employees	9,328,202	9,169,647	9,117,557	8,841,656	9,328,202	9,169,647	9,117,557	8,841,656
c)	Total insider loans, advances and other facilities	15,286,096	15,333,436	15,572,155	11,240,225	15,286,096	15,333,436	15,572,155	11,240,225
3	Off-Balance Sheet Items								
a)	Letters of credit,guarantees, acceptances	27,803,951	26,030,595	25,276,943	23,478,406	27,803,951	26,030,595	25,276,943	23,478,406
b)	Forwards, swaps and options	4,950,528	12,649,488	6,812,807	13,817,777	4,950,528	12,649,488	6,812,807	13,817,777
c)	Other contingent liabilities	-	-	-	-	-	-	-	-
d)	Total contingent liabilities	32,754,480	38,680,082	32,089,750	37,296,183	32,754,480	38,680,082	32,089,750	37,296,183
	Capital strength								
a)	Core capital	70,825,534	68,929,354	67,310,007	62,794,794	66,031,098	64,360,845	62,770,438	58,734,826
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)	69,825,534	67,929,354	66,310,007	61,794,794	65,031,098	63,360,845	61,770,438	57,734,826
d)	Supplementary capital	2,098,992	2,095,395	1,987,124	1,238,647	2,095,395	2,095,395	1,941,541	1,235,050
e)	Total capital (a+d)	72,924,526	71,024,750	69,297,131	63,033,441	68,126,493	66,456,240	64,711,979	59,969,877
f)	Total risk weighted assets	434,978,329	440,653,750	413,660,438	392,420,664	431,312,147	437,351,505	410,346,536	389,919,445
g)	Core capital/total deposit liabilities	18.2%	20.2%	20.2%	19.32%	17.1%	19.1%	19.0%	18.2%
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i)	Excess/(deficiency)	10.2%	12.2%	12.2%	11.3%	9.1%	11.1%	11.0%	10.2%
j)	Core capital/total risk weighted assets	16.3%	15.6%	16.3%	16.00%	15.3%	14.7%	15.3%	15.1%
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)	5.8%	5.1%	5.8%	5.50%	4.8%	4.2%	4.8%	4.6%
m)	Total capital/total risk weighted assets	16.8%	16.1%	16.8%	16.32%	15.8%	15.2%	15.8%	15.4%
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)	2.3%	1.6%	2.3%	1.82%	1.3%	0.7%	1.3%	0.9%
p)	Adjusted Core Capital/Total Deposit Liabilities*	17.7%	20.0%	20.2%	19.79%	16.7%	18.9%	19.0%	18.7%
q)	Adjusted Core Capital/Total Risk Weighted Asset	15.9%	15.5%	16.3%	16.39%	15.0%	14.6%	15.3%	15.5%
r)	Adjusted Total Capital/Total Risk Weighted Asse	16.4%	15.9%	16.8%	16.71%	15.5%	15.1%	15.8%	15.8%
5	Liquidity								
a)	Liquidity Ratio	54.1%	49.0%	46.2%	44.6%	52.8%	47.5%	44.8%	43.5%
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c)	Excess/(deficiency)(a-b)	34.1%	29.0%	26.2%	24.6%	32.8%	27.5%	24.8%	23.5%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

The financial statements were approved by the Directors on 12th August 2020 and signed on its behalf by:

Signed: J.K.Murugu, OGW
Group Chairman

Signed: Dr.G. Muriuki, CBS,MBS
Group Managing Director & CEO

CO-OPERATIVE BANK OF KENYA LIMITED

SUMMARY STATEMENT OF CASHFLOWS

	Un-audited 30-Jun-20 KShs'000	Audited 31-Dec.2019 KShs'000	Un-audited 30-Jun-19 KShs'000
Net cash flows from operating activities	**52,551,689**	**17,001,637**	**24,996,038**
Net cash flows used in investing activities	9,250,820	(27,671,824)	(17,186,643)
Net cash flows from financing activities	(9,692,297)	(4,594,751)	(8,837,390)
Net (decrease)/increase in cash and cash equivalents	**52,110,211**	**(15,264,938)**	**(1,027,995)**
Cash and cash equivalents at 1 January	16,847,750	32,112,688	32,112,688
Cash and cash equivalents at period end	**68,957,962**	**16,847,750**	**31,084,693**

CO-OPERATIVE BANK OF KENYA LIMITED
SUMMARY STATEMENT OF CHANGES IN EQUITY

	Share Capital KShs'000	Share Premium KShs'000	Revenue and Other Reserves KShs'000	Proposed Dividends KShs'000	Attributable to equity holder of the company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2020	5,867,180	1,911,926	65,245,483	5,867,180	78,891,768	1,521,709	80,413,477
Total comprehensive income							
Profit for the year	-	-	7,197,918	-	7,197,918	41,661	7,239,579
Other comprehensive income	-	-	(540,620)	-	(540,620)	-	(540,620)
2019- Dividends paid	-	-	-	(5,867,180)	(5,867,180)	-	(5,867,180)
Balance at 30 June 2020	5,867,180	1,911,926	71,902,781	-	79,681,887	1,563,370	81,245,257